

Calendar Line 7

Case Name: *Atul D. Shinde v. PLM Loan Management Service, Inc. et al.*

Case No.: 25CV481591

Before the Court is Defendant PLM Loan Management Services, Inc.’s (“Defendant” or “PLM”) demurrer to the first, second, third, fourth, fifth, sixth, seventh, and eighth causes of action alleged in the complaint filed by Plaintiff Atul D. Shinde (“Plaintiff” or “Shinde”).

This is an action to quiet title. According to the allegations of the complaint, Shinde has continuously owned and occupied real property located at 22764 Majestic Oak Way, Cupertino, California, 95014 (the “Property”) since 2004. (Complaint, ¶ 12.) The Property was encumbered by two deeds of trust: a first deed of trust in favor of Quicken Loans and a second-position deed of trust in favor of TechCU (“TCU”) securing a debt with a balance of approximately \$56,000, plus accrued interest, fees, and foreclosure costs totaling approximately \$64,485.62 (the “Second Lien”). (*Id.* at ¶ 13.) TCU initiated nonjudicial foreclosure proceedings. (*Id.* at ¶ 15.) Ole M. Pedersen (“Pedersen”) submitted a winning bid of \$308,203. (*Id.* at ¶ 17.) After satisfaction of the Second Lien and other costs, surplus proceeds of approximately \$233,000 remain. (*Ibid.*)

Shinde filed the complaint on December 10, 2025, alleging the following causes of action: (1) quiet title – no trustee authority after reconveyance; (2) quiet title and voidable sale – statutory violations and procedural irregularities; (3) cancellation of instruments; (4) equitable set-aside of trustee’s sale; (5) declaratory relief; (6) wrongful foreclosure; (7) injunctive relief; and (8) violation of automatic bankruptcy stay.

The Court GRANTS judicial notice of Exhibits 1 through 9 to PLM’s request for judicial notice under Evidence Code section 452, subdivisions (c) and (d). (PLM’s Request for Judicial Notice (“RJN”), Exs. 1-9; see Evid. Code, ¶ 452, subds. (c), (d).) The Court takes judicial notice of the existence of these exhibits but does not take notice of the truth of any disputed contents of these exhibits. (See *Oh v. Teachers Ins. & Annuity Assn. of America* (2020) 53 Cal.App.5th 71, 80-81 [truth of contents of court records cannot be judicially noticed]; *Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 194 [“While courts may notice official acts and public records, we do not take judicial notice of the truth of all matters stated therein.”], internal citations and quotation marks omitted.)

The Court OVERRULES PLM’s demurrer to the entire complaint on the grounds that Code of Civil Procedure section 430.10, subdivision (c) bars this action. A party may demur on the ground that there “is another action pending between the same parties on the same cause of action.” (Code Civ. Proc., § 430.10, subd. (c).) Shinde’s opposition notes that the complaint Shinde filed in case no. 25CV468701 has been dismissed in its entirety. (Shinde’s Opposition to PLM’s Demurrer (“Opposition”), p. 3:24-27.) PLM has “withdrawn” its argument on this basis. (See PLM’s Reply in Support of Demurrer (“Reply”), p. 10:11-16.)

The Court SUSTAINS PLM’s demurrer to the complaint’s first cause of action with 10 days’ leave to amend. The purpose of a quiet title action is to establish title against adverse claims or interest in real property. (Code Civ. Proc., § 760.020.) Civil Code section 2941 states that “the beneficiary or the assignee of the beneficiary shall execute and deliver to the trustee the original note, deed of trust, request for a full reconveyance, and other documents as

may be necessary to reconvey, or cause to be reconveyed, the deed of trust. . . . The trustee shall execute the full reconveyance and shall record or cause it to be recorded . . . [i]f the trustee has failed to execute and record, or cause to be recorded, the full reconveyance . . . the beneficiary, upon receipt of a written request by the trustor or trustor's heirs, successor in interest, agent, or assignee, shall execute and acknowledge a document pursuant to Section 2934a substituting itself or another as trustee and issue a full reconveyance.” (Civ. Code § 2941, subds. (b)(1), (2).) In other words, while it is the responsibility of the beneficiary or assignee of the beneficiary to request that a reconveyance be effectuated, it is the responsibility of the trustee to ultimately execute and record the reconveyance. (*Ibid.*) Under Civil Code section 2934a, the trustee “under a trust deed upon real property or an estate for years given to secure an obligation to pay money . . . may be substituted by the recording . . . [o]nce recorded, the substitution shall constitute conclusive evidence of the authority of the substituted trustee or their authorized agents to act pursuant to this section . . .” (Civ. Code, § 2934a, subds. (a), (d)(4).)

The complaint's first cause of action is problematic under both Civil Code sections 2941 and 2934a. The complaint alleges that TCU “recorded a Full Reconveyance, extinguishing the deed of trust. *As beneficiary*, [TCU] possessed the authority to reconvey under Civil Code § 2941(b). Upon reconveyance, PLM's power of sale was terminated. A foreclosure conducted after reconveyance is void, not merely voidable.” (Complaint, ¶¶ 50-51, emphasis added, internal citation omitted.) Similarly, the complaint alleges that on July 29, 2025, “the beneficiary, [TCU] recorded a Full Reconveyance . . .” (*Id.* at ¶ 1.) Exhibit A, the reconveyance, was signed and recorded by TCU. (*Id.* at ¶ 1, Ex. A.) The complaint does not allege that TCU, *as trustee*, executed and recorded the full reconveyance, as required by Civil Code section 2941. This allegation forms the basis of the complaint's first cause of action. (Complaint, ¶¶ 50-54.)

The complaint further alleges that PLM acted as a “substituted foreclosure trustee” for the Second Lien and that PLM conducted the foreclosure auction. (Complaint, ¶¶ 7, 24 [PLM “is a California corporation that acted as substituted foreclosure trustee . . .”].) Exhibit I to the complaint is a document titled “Substitution of Trustee” that states TCU “substitutes a new Trustee” —PLM—under the Second Lien. (Complaint, Ex. I.) This document appears to have been recorded on February 18, 2025. (*Ibid.*) The complaint does not appear to include any allegations challenging or contesting this substitution of trustee. Nor does it appear to allege the existence of any other foreclosure trustee or the recording of a substitute of trustee after February 18, 2025. Therefore, the Court is inclined to agree with PLM that it has been and remains the authorized trustee of record for the Second Lien, including when the foreclosure auction and sale occurred.

Shinde argues in opposition that PLM's arguments as to the first cause of action require the Court to resolve legal and factual issues that cannot be decided on demurrer. (Opposition, p. 4:1-23.) The Court is not persuaded by this argument. “We treat the demurrer as admitting all material facts properly pleaded but not contentions, deductions or conclusions of fact or law. We accept the factual allegations of the complaint as true and also consider matters which may be judicially noticed.” (*Mitchell v. California Department of Public Health* (2016) 1 Cal.App.5th 1000, 1007 (*Mitchell*), internal citation omitted.) As PLM notes on reply, the complaint pleads that TCU acted as a beneficiary when executing and recording the reconveyance. (Reply in Support of Demurrer (“Reply”), pp. 4:14-5:28; see Complaint, ¶¶ 1, 50-51.) The complaint further pleads that PLM acted as a substituted foreclosure trustee. (See

Reply, pp. 2:19-4:13; Complaint, ¶¶ 7, 24.) Exhibits attached to the complaint demonstrate the same. (See Complaint, Ex. I.) These are pleading defects on the face of the complaint. The complaint’s allegation that TCU had the authority to record a reconveyance “extinguishing the deed of trust,” as a beneficiary, is a legal conclusion that the Court does not accept as true on demurrer. (*Id.* at ¶ 50.)

The Court SUSTAINS PLM’s demurrer to the complaint’s second cause of action with 10 days’ leave to amend. The complaint’s second cause of action to quiet title alleges that in the alternative, the sale of the Property “is either void or voidable” because PLM failed to finalize the sale “before expiration of the 45-day period and after the deed of trust was extinguished. PLM prematurely distributed payoff funds to [TCU] before sale finality, violating the statutory structure of § 2924m. . . . PLM refunded the first bidder using Pedersen’s funds . . . [t]he mailed and posted NOTS omitted the beneficiary name.” (Complaint, ¶¶ 55-59.) Given these allegations, the Court agrees with PLM that the complaint’s second cause of action attempts to bring a private cause of action under Civil Code section 2924m. (MPA, p. 15:27-28; see also Civil Code, § 2924m.)

The Court further agrees with PLM that there is no private right of action for a purported violation of Civil Code section 2924m. (MPA, p. 16:10-15.) “A violation of a state statute does not necessarily give rise to a private cause of action. Instead, whether a party has a right to sue depends on whether the Legislature has manifested an intent to create such a private cause of action under the statute.” (*Lu v. Hawaiian Gardens Casino, Inc.* (2010) 50 Cal.4th 592, 596, internal citations and quotation marks omitted.) “If the Legislature intended a private right of action, that usually ends the inquiry. If the Legislature intended there be no private right of action, that usually ends the inquiry. If we determine the Legislature expressed no intent on the matter either way, directly or impliedly, there is no private right of action, with the possible exception that compelling reasons of public policy might require judicial recognition of such a right.” (*Animal Legal Defense Fund v. Mendes* (2008) 160 Cal.App.4th 136, 142, internal citations omitted.) Here, the text of Civil Code section 2924m does not appear to state a clear right to bring a private action for violations of the section. In fact, subsection (j) states: “[t]he Attorney General, a county counsel, a city attorney, or a district attorney may bring an action for specific performance or any other remedy at equity or at law to enforce this section.” (Civ. Code, § 2924m, subd. (j).) Therefore, because the statute only provides for enforcement of the section by government actors, and is silent on a private cause of action, the Court concludes that section 2924m does not provide a private right of action for violations based on the section. In opposition, Shinde provides no authority or discussion to the contrary. (See *Schulster Tunnels/Pre-Con v. Traylor Brothers, Inc.* (2003) 111 Cal.App.4th 1328, 1345, fn. 16 [failure to address point is “equivalent to a concession”].) The authorities Shinde cites do not address the issue. (See *Applegate v. Carrington Foreclosure Services, LLC* (2025) 112 Cal.App.5th 356, 364, fn. 6 [“CFS and WSF vigorously argue there is no private right of action for alleged violations of section 2924m. We need not decide the issue because, even assuming there is a private right of action, we conclude defendants are entitled to judgment as a matter of law.”]; *Bird Rock Home Mortgage, LLC v. Breaking Ground, LP* (2025) 114 Cal.App.5th 492.)

PLM also notes that the complaint’s allegation that the “Notice of Trustee Sale omitted the beneficiary’s name” does not constitute an “irregularity” under Civil Code section 2924f. (MPA, p. 17:17-25; see also Complaint, ¶ 59 [“The mailed and posted NOTS omitted the beneficiary name . . . in violation of Civil Code § 2924f(b)(3).”].) Civil Code section 2924f,

subdivision (b)(3) does not appear to include any requirement that a posted notice of trustee sale contain the beneficiary's name or "PLM [sic] representative's signature." (Complaint, ¶ 59; Civil Code, § 2924f, subd. (b)(3).) As PLM points out, it requires that a copy of a notice of sale be posted and discusses the circumstances sufficient for posting. Again, Shinde does not address this point in opposition.

Furthermore, the Court is inclined to agree with PLM that even if Civil Code section 2924m did create a private right of action, it does not appear to the Court that the complaint sufficiently alleges a violation of the statute. The complaint alleges that the sale never became final because PLM acted to finalize the sale before the expiration of the 45-day period and after the deed of trust was extinguished by "prematurely" distributing payoff funds to TCU, engaging in a "bid substitution" process, and failing to comply with Civil Code section 2924f, subdivision (b)(3). (Complaint, ¶¶ 56-60.) The complaint alleges that the foreclosure sale occurred on June 20, 2025. (Complaint, ¶ 24.) The complaint further alleges that PLM recorded the Deed Upon Sale on August 14, 2025, forty-five days after June 20, 2025 and within 60 days of June 20, 2025. (*Id.* at ¶ 8, Ex. B; see Civ. Code, § 2924m, subd. (c); Civ. Code § 2924h, subd. (c).) Moreover, as PLM points out, Shinde has not directed the Court to any authority indicating that Civil Code section 2924m prohibits "premature" distribution of payoff funds, and, for similar reasons the Court discusses further below, the alleged "bid-substitution" scheme referenced in the complaint has not been sufficiently pled. (MPA, p. 17:15-16 ["To the extent that Mr. Shinde alleges irregularity in fund distribution, Civil Code § 2924m does not cover fund distribution."].)

The Court SUSTAINS PLM's demurrer to the complaint's third cause of action with 10 days' leave to amend. Civil Code § 3412 provides that a "written instrument, in respect to which there is a reasonable apprehension that if left outstanding it may cause serious injury to a person against whom it is void or voidable, may, upon his application, be so adjudged, and ordered to be delivered up or canceled." (Civ. Code, § 3412.) The complaint alleges that the "trustee's deed upon sale" is void or voidable because (1) it was issued after the deed was extinguished by reconveyance; (2) it was issued in willful violation of the automatic bankruptcy stay; (3) it was produced by irregular actions including statutory violations of Civil Code section 2924m; and (4) it purported to transfer title without authority. (Complaint, ¶¶ 61-62.) The Court has already discussed the complaint's "reconveyance" allegations and found them insufficient. The Court has also already discussed the complaint's allegations regarding PLM's purported statutory violations of Civil Code section 2924m and similarly found them insufficient. This leaves the complaint's allegations regarding the "bankruptcy stay." For reasons the Court discusses further below, it lacks jurisdiction to determine whether PLM has violated the alleged automatic bankruptcy stay.

The Court OVERRULES PLM's demurrer to the complaint's fourth cause of action. The complaint's fourth cause of action alleges that equity requires that the Court set aside the foreclosure sale for the following independent reasons: (1) multiple statutory violations; (2) chilled billing; (3) the sale price, 23% of fair market value, "shocks the conscience and justifies equitable relief"; and (4) Pedersen cannot claim bona fide purchaser status. (Complaint, ¶ 64.) As such, the complaint alleges four independent bases for its fourth cause of action. PLM argues that each of these grounds are insufficient for different reasons. (MPA, pp. 18:26-19:23.) PLM argues that "within this context the sale price is not too low." (*Id.* at p. 19:9-11.) PLM cites no legal authority in support of this argument, and the Court otherwise finds that whether the sale price "is not too low" is a question of fact that cannot be resolved on

demurrer. A demurrer does not lie to a portion of a cause of action. (*PH II v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682.)

The Court SUSTAINS PLM's demurrer to the complaint's fifth cause of action with 10 days' leave to amend. To qualify for declaratory relief under Code of Civil Procedure section 1060, a plaintiff's action must present two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party. (*Lee v. Silveira* (2016) 6 Cal.App.5th 527, 546.) First, the Court notes that Shinde does not address PLM's point that the complaint's fifth cause of action is duplicative of other causes of action, a point that the Court finds persuasive given that the "availability of another form of relief that is adequate will usually justify refusal to grant declaratory relief." (*Cal. Ins. Guar. Ass'n v. Superior Court* (1991) 231 Cal.App.3d 1617, 1624; see also *General of America Insurance Co. v. Lilly* (1968) 258 Cal.App.2d 465, 470.) The complaint's fifth cause of action seeks a judicial declaration that "(a) the sale is void or voidable; (b) the TDUS conveys no title; (c) the reconveyance is valid; and (d) Pedersen is not a bona fide purchaser." (Complaint, ¶ 67.) The complaint's first cause of action seeks to quiet title on the basis that the sale of the Property is void because of TCU's alleged reconveyance; the complaint's third cause of action alleges a cause of action for "cancellation of instruments" and alleges that the "TDUS and all related instruments should be cancelled"; and the complaint's fourth cause of action requests that the Court "set aside" the sale of the Property on the basis that Pedersen cannot claim bona fide purchaser status. (*Id.* at ¶¶ 50-54, 61-65.) Furthermore, there is no basis for declaratory relief where only past wrongs are involved. (*Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC* (2010) 191 Cal.App.4th 357, 366, quotation marks omitted.) The complaint's fifth cause of action does not, for example, seek declarations regarding Shinde's ongoing rights to the property. Instead, it seeks to have the Court declare that an alleged past sale is invalid, that an alleged past deed upon sale conveys no title, that a past reconveyance is valid, and Pedersen is not a bona fide purchaser. (Complaint, ¶ 67.)

The Court SUSTAINS PLM's demurrer to the sixth cause of action with 10 days' leave to amend. "The elements of a wrongful foreclosure cause of action are: (1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering." (*Sciarratta v. U.S. Bank Natl. Assn.* (2016) 247 Cal.App.4th 552, 561-562, internal citation and quotation marks omitted.) The complaint alleges seven independent bases for its sixth cause of action, several all of which appear to relate to one of either (1) alleged violations of Civil Code section 2924m, (2) alleged violations of a bankruptcy stay; (3) the circumstances surrounding TCU's alleged reconveyance; and (4) insufficient posting under Civil Code section 2924f. (Complaint, ¶ 69.) The Court, as it has already discussed, has found each of these allegations insufficiently pled for different reasons. This leaves the complaint's "failure to disclose" and "bid substitution" allegations. Unlike the fourth cause of action, the complaint's sixth cause of action fails to allege what undisclosed "material" information forms the basis for the cause of action. The complaint's conclusory allegation is insufficient. (*Mitchell, supra*, 1 Cal.App.5th at p. 1007 ["We treat the demurrer as admitting all material facts properly pleaded but not contentions, deductions or conclusions of fact or law."].) The complaint also repeatedly references a "bid substitution" scheme. (See Complaint, ¶¶ 7, 43-44, 58, 64, 69.) These allegations appear to

allege a violation of Civil Code section 2924m, but the Court again notes that Shinde does not respond to PLM's argument on demurrer and direct the Court to any relevant language in Civil Code section 2924m addressing the issue. (See Reply, p. 7:11-18 ["Plaintiff's allegations regarding supposedly prematurely distributing payoff funds to TCU and refunding the bidder at the trustee sale with Ole Pedersen's funds pertain to administrative acts which are not covered by Civil Code § 2924m, nor has the Opposition cited any authority prohibiting such administrative acts because no such authority exists."].) The Court has otherwise also already discussed whether the statute creates a private right of action.

The Court SUSTAINS PLM's demurrer to the seventh cause of action WITHOUT LEAVE TO AMEND. While a party may obtain injunctive relief if they are otherwise entitled to such relief, a court may nonetheless sustain a demurrer to a cause of action for injunctive relief because it is not actually a cause of action. (*Allen v. City of Sacramento* (2015) 234 Cal.App.4th 41, 65-66; see also *Ivanoff v. Bank of America, N.A.* (2017) 9 Cal.App.5th 719, 734 ["Injunctive relief is a remedy, not a cause of action. A cause of action must exist before a court may grant a request for injunctive relief."], internal citations and quotation marks omitted.)

The Court SUSTAINS PLM's demurrer to the complaint's eighth cause of action WITHOUT LEAVE TO AMEND. A party against whom a complaint has been filed may demur on the ground that the court has no jurisdiction of the subject of the cause of action alleged in the pleading. (Code of Civ. Proc., § 430.10, subd. (a).) 28 U.S.C. section 1334, subdivision (a) states that federal district courts "have original and exclusive jurisdiction of all cases under title 11." (28 U.S.C. § 1334, subd. (a).) Moreover, 28 U.S.C. section 157 provides that "[b]ankruptcy judges may hear and determine all cases under title 11 and all core proceedings arising under title 11." (28 U.S.C. § 157, subd. (b)(1).) "Core proceedings" include "motions to terminate, annul, or modify [an] automatic stay." (28 U.S.C. § 157(b)(2)(G).) Taking these statutory provisions into account, the Court agrees with PLM that it lacks jurisdiction to determine whether PLM has violated an automatic stay that took effect upon Shinde filing a voluntary petition for relief in the United States Bankruptcy Court for the Northern District of California. (Complaint, ¶¶ 75-84.) Furthermore, Shinde does not appear to offer any response to PLM's jurisdiction argument, instead contending that if the Court has "any concern about the eighth cause of action, any ruling should be limited to that count." (Opposition, pp. 9:17-10:8.)

The Court will prepare the final order.

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